

who has climbed out of debt and is meeting all of their financial goals, the value of the same new shoes may outweigh the cost, and the purchase may be worth it.

Another problem with only examining the price of a purchase is that you can become **cheap**. Being cheap means you only care about getting the lowest possible price at all times, which is not always a good thing. You may be surprised to hear that the lowest price is not always in your best interest, but there are many times when being cheap is not the best option. For instance, you can probably find a used pair of sneakers that aren't your size for \$2 at a thrift store, but is it really worth risking athlete's foot and painful blisters to save \$40? Rather than being cheap, you should be **frugal**. Being frugal means trying to get the most value from each purchase, not just the lowest price.

As a personal example, I have purchased three sets of headphones in the past year. The first two times, I just bought the cheapest option I could find. Each of those sets frustrated me because they would not stay in place while I was exercising, were uncomfortable in my ears, or the sound quality was poor. I finally learned my lesson and bought a more expensive pair. Although they were pricier, they work exactly how I need them to, and they have given me a lot of joy in an area of my life that used to give me frustration. For me, the more expensive headphones provided more value. For another person who does not wear headphones while they exercise or who has normally shaped ears, maybe one of the first two sets of headphones would give them more value.

The point of this story is not that you should buy any expensive thing you see just because it makes you happy and is valuable to you. When I bought my more expensive headphones, I was comfortable doing it because I make many frugal financial decisions in other parts of my life. I am willing to spend \$100 on